

PURCHASE & RATE/TERM REFINANCE — PRIMARY RESIDENCE				
Max LTV/CLTV*	Max Loan Amount	Min FICO	Max Ratios	Mortgage/Rental History
100% / 100% excluding USDA Guarantee Fee	Determined by qualifying ratios and county maximum income limits	550*	Per GUS**	0x30 last 12 months
LTV/CLTV is calculated on the appraised value. The appraised value can only be exceeded by the guarantee fee.				
*See Credit History below for 550–580 FICO limitations. **See Debt Ratio Waiver below for manually underwritten loans.				

STREAMLINE REFINANCE				
Max LTV	Max Loan Amount	Min FICO	Max Ratios	Mortgage/Rental History
100% excluding USDA Guarantee Fee	Determined by qualifying ratios and county maximum income limits	550*	Per GUS**	0x30 last 12 months
Streamline refinance transactions must pay off an existing USDA Guaranteed loan. Section 502 Direct loans are not eligible for streamline. An appraisal is not required on a USDA streamline. All other credit criteria apply, including 0x30 mortgage rating for the previous 12 months.				
*See Credit History below for 550–580 FICO limitations. **See Debt Ratio Waiver below for manually underwritten loans.				

USDA GUARANTEE FEE TABLE		
Transaction	Guarantee Fee	Annual Fee
Purchase transactions	1.00%	0.35%
Refinance transactions	1.00%	0.35%
The guarantee fee is calculated on the loan amount and may be financed. When financing the fee, LTV/CLTV may not exceed 100% of the appraised value plus the financed guarantee fee.		

MAXIMUM LOAN AMOUNTS	
Purchase & Rate/Term Refinance	Maximum loan amount cannot exceed 100% of the appraised value; the total loan amount cannot exceed the appraised value plus the guarantee fee, if financed. On purchases, if the sales price is lower than the appraised value, closing costs may be financed up to the appraised value plus the guarantee fee.
Streamline Refinance	Maximum loan amount cannot exceed the unpaid principal balance of the existing loan plus accrued interest, reconveyance fee (if collected by the existing servicer), and the guarantee fee. Delinquent interest, late fees, closing costs, and other fees cannot be financed. The new loan amount may not exceed the original purchase loan amount.
Eligibility Lookup	Property must be located in an eligible USDA area — confirm via the USDA property eligibility lookup or with your UFF Account Executive.

COLLATERAL	
Appraisal Requirements	Full appraisal with interior and exterior inspection by an FHA-roster approved appraiser, confirming the property meets FHA Minimum Property Standards per HUD 4000.1. The appraisal must have been completed within 150 days of loan closing.
Eligible Collateral	All dwellings must be decent, safe, and sanitary at a modest cost (purchase price not exceeding the FHA single family limit for the county is considered modest). Owner occupied only. 1 unit, PUDs, condos, manufactured homes meeting all RD requirements (see below), modular homes, and leaseholds. Hawaiian properties permitted in Lava Zones 3–9 with valid homeowner's insurance.
Ineligible Collateral	Mobile homes; single-wide manufactured homes; co-ops; condo hotels; state-approved medical marijuana producing properties; income-producing farms; ranches; mixed use; commercial properties; energy efficiency; properties not in an eligible USDA area; properties served by cisterns; sink holes; hauled water; wastewater stabilization ponds/lagoons; individual water purification systems required for safe drinking water; and Hawaiian properties in Lava Zones 1 and 2.

COLLATERAL	
Recent MLS Activity / Listed for Sale	Property cannot be listed for sale at time of application. Underwriter validates MLS cancellation prior to the loan application date. Borrower provides an LOE for all MLS activity within 6 months of the application date and a letter confirming intent to retain the property as primary residence.
Condos	Must meet FHA minimum project standards and be on FHA's approved condominium project list. Current HOA questionnaire and master policy required to certify the project. The 1008 must reflect the project certification along with the FHA project number.
Manufactured Homes	Newly constructed manufactured homes permanently affixed to the foundation are eligible; homes completed within the previous 12 months (measured from the data plate manufacture date to the purchase contract date) are considered new. Existing manufactured homes built on or after June 15, 1976 are only eligible if already RD-guaranteed or REO formerly serviced by a Housing and Community Facilities Program (HCFP)/USDA.
New Construction	Properties completed within the previous 12 months, or completed more than 12 months ago but never occupied, are new construction. Required: certificate of occupancy (or, if the local authority does not issue COs, the eligible building permit plus footing/foundation inspections, plumbing/electrical/mechanical inspections before shell enclosure, and a final inspection); minimum 1-year builder warranty (a 10-year insured warranty is acceptable and may waive the inspection evidence); thermal performance meeting 2006 IECC, evidenced by the CO, final inspection, or 10-year insured warranty.
Existing Construction	Properties completed more than 12 months ago, or completed within 12 months but previously occupied. A certificate of occupancy is not required.
Property Condition	Properties in C5 or lower condition are not eligible. Repairs needed to make the dwelling structurally sound, functionally adequate, and free of health/safety issues must be completed prior to closing. Repair escrows are not permitted.
Flood	Existing properties in a flood zone must have flood insurance; not required outside a flood zone. New construction in a flood zone is permitted with a FEMA Letter of Map Revision (LOMR) or Letter of Map Amendment (LOMA).
Septic Certification	Private septic systems must be free of observable evidence of failure. Evaluation may be performed by the appraiser, a government health authority, a licensed septic professional, or a licensed home inspector; evidence of the evaluation and findings required. Certification may be required if noted by the appraiser or at underwriter discretion.
Termite Inspections	Required if noted in the purchase contract, by the appraiser, by state law, or at underwriter discretion.
Thermal Performance	All dwellings must meet the thermal performance standards in RD Instruction 1924-A. Existing homes not meeting the standards are not eligible for USDA financing.
Well Certification	Private wells require a water quality analysis by the local health authority or a state certified laboratory, with certification the well/water meets state and local standards.
Limitations on Other R.E. Owned	Borrowers owning another home are typically not eligible. Exceptions can be considered if the current home is at least 50 miles from the subject or is not structurally sound or is functioning inadequately; documentation supporting the need is required. Another owned residence cannot be financed with a Section 502 Direct or Guaranteed loan. The borrower may retain one dwelling along with the new USDA loan.

TYPES OF FINANCING	
Purchase Transactions	Permitted up to 100% of the appraised value. If the sales price is lower than the appraised value, closing costs may be included up to 100% of the appraised value. The LTV can exceed 100%, up to 102%, with the guarantee fee.
Rate/Term Refinance	USDA financing may pay off an existing guaranteed loan on the property. The new loan amount can include the payoff plus the guarantee fee. The rate of the new loan must be at least 100 basis points below the original rate of the loan refinanced.
Cash-Out Refinance	Not eligible.
Down Payment Assistance	Permitted. Requests to review DPA programs for use with UFF agency first mortgage programs may be submitted to UFF for review with the required exhibits.

CREDIT	
Social Security Numbers	Required for all borrowers.

CREDIT	
FICO Validation	At least 1 applicant whose income or assets are used for qualification must have at least 2 open and current tradelines for at least 12 months. If one score is returned on a tri-merged report, it may be used for underwriting as long as the report contains two historical trade lines. Borrowers with no scores — or with scores but without 2 historical trades — are treated as non-traditional and must develop manually rated trades.
Non-Traditional Credit	Permitted; may not be used to offset a poor credit history or insufficient credit. Max financing per program matrix. 2 trade references are required when at least 1 includes verification of rental housing or mortgage payments; if unavailable, a minimum of 3 non-traditional trades each rated for at least 12 months. See UFF USDA guidelines for non-traditional tradeline sources.
CAIVRS & Exclusionary List	CAIVRS clearance required for all borrowers. GSA/LDP/SAM clearance required for all parties of the transaction within 30 days of USDA's Conditional Commitment date. Clearance must be documented through the SAM website for all USDA loans — third-party verifications such as DataVerify are not permitted.
Credit History	Borrowers must demonstrate ability and willingness to meet obligations timely. Unacceptable credit is not eligible without acceptable resolution: (1) temporary situation — circumstances were temporary, beyond the applicant's control, and removed/resolved for 12 months prior to application; or (2) reduced housing expenses — the loan significantly reduces housing expenses (50%+), improving repayment ability. Supporting documentation required. Unacceptable credit: bankruptcy < 3 years; foreclosure < 3 years; short sale < 3 years; any recent collections. Consumer counseling services must be paid in full prior to closing. Scores of 580 and below will generally not be approved without strong documentation of extenuating circumstances, re-established credit over the most recent 12 months, and compensating factors.
Bankruptcy	GUS Accept: eligible provided the bankruptcy is reported accurately on the credit report and URLA declarations read by GUS. GUS Refer: Chapter 7 discharged for 36 months (< 36 months may be acceptable if it meets credit exception requirements). Currently in Chapter 13 requires 12 months satisfactory pay history and court permission; extenuating circumstances required — without them, Chapter 13 must be discharged a minimum of 12 months.
Collections	Determined by the underwriter when evaluating the strengths of the credit profile — see Capacity Analysis below.
Capacity Analysis — Collections	Completed regardless of underwriting method for collection accounts with aggregate balance ≥ \$2,000 (non-purchasing spouse's collections included in community property states; exclude medical collections and charge-offs from the total). If aggregate ≥ \$2,000: (1) pay in full at or prior to closing; (2) creditor payment arrangements with a creditor letter or credit report evidence (payments in DTI); or (3) no arrangement — 5% of the outstanding balance used to calculate the payment.
Judgments / Liens	All outstanding judgments and liens must be paid prior to closing (includes non-purchasing spouse). Tax liens with a repayment plan require a minimum 3-month payment history paid as agreed; copy of the agreement required prior to credit approval. Borrowers may not prepay scheduled payments to meet the 3-month requirement. Payment included in DTI.
Foreclosure / Deed-in-Lieu	GUS Accept: eligible if reported accurately on the credit report and URLA declarations read by GUS. GUS Refer: must be > 3 years from date of trustee's deed (documentation required; credit report alone unacceptable; CAIVRS if applicable). If the foreclosure was on a USDA-guaranteed property, the borrower is not eligible for new financing. < 36 months may be acceptable if it meets credit exception requirements.
Short Sale / Short Refi / Modification	Not eligible if the short sale was pursued to take advantage of declining markets and purchase a similar or superior property within reasonable commuting distance of the prior residence. A borrower in default at time of short sale/restructure or pre-foreclosure is not eligible for 3 years from the pre-foreclosure sale date. Borrowers current at time of short sale must show 0x30 mortgage and installment history for the preceding 12 months. Prior UFF short sales are not permitted.
Late Payments	More than 1x30 in the previous 12 months, 2x30 in the previous 36 months, collections filed in the previous 12 months, charge-offs within the last 36 months, judgments filed in the previous 12 months, and open tax liens with no repayment plan are indications of unacceptable credit and may adversely affect loan eligibility.
Disputed Accounts	Not considered in the credit score. Manual underwrites require an LOE and documentation supporting each dispute. Loans are downgraded to a manual "Refer" unless, on the credit report: (1) the disputed tradeline has a zero-dollar balance; (2) it is marked "paid in full" or "resolved"; or (3) it has a balance owed < \$500 and is more than 24 months old.
Monthly Debt Payment	Accounts paid in full through a specified number of fixed payments (auto, personal, secured/unsecured, etc.) must have the monthly payment included. Installment debt may be paid down to ten months or less of remaining debt; if ten or fewer months remain per the credit report or creditor verification, the monthly debt may be excluded if the payment does not exceed 5% of monthly repayment income.
Minimum Payment	5% of outstanding balance for revolving accounts if no payment is indicated.

CREDIT	
Student Loans	Payments must be fixed and fully amortizing for the life of the loan to be used as the debt consideration. Fixed payment loans: a permanent amortized, fixed payment may be used when documentation verifies the payment, rate, and term are fixed. Non-fixed payment loans (deferred, IBR, graduated, adjustable, other non-fixed agreements): use the higher of 0.50% of the loan balance or the actual payment on the credit report; no additional documentation required.
Debt Not on Credit Report	Third-party documentation required to verify payment history of debt not reported (e.g., alimony, child support, separate maintenance). Recorded legal documents showing monthly payment and duration required, plus the most recent 12 months payment history verifying timely payments.
Mortgage/Rental History	For GUS Accept loans, the rent amount input into GUS must be verified with a cancelled check, bank statement, or rental agreement, per GUS findings. If the credit report does not provide the housing rating, a VOM/VOR or cancelled checks are required; renting from a relative requires the most recent 12 consecutive months of cancelled checks. Delinquencies: 0x30 in the previous 12 months. FICO ≥ 680 or GUS Accept = no VOR requirement; < 680 = VOR required.
Payment Shock	PITI > 29% and payment shock > 100%, or no prior housing history, require compensating factors.
Co-Signed Debt	Payment may be excluded if the primary obligor has made timely payments for 12 months (documentation required). Joint debts must be included in DTI; individual debts paid by another party must be included in DTI.
Non-Purchasing Spouse	Credit report required in community property states. Debts added to DTI; credit history may be considered. May be added to title on a purchase or remain on title when refinancing; no party other than the borrower or their spouse may have a vested interest.
Community Property States	AZ, CA, ID, LA, NV, NM, TX, WA, WI.

INCOME / ASSETS	
Ratios	Maximum ratios for Rural Development loans are 29%/41%.
Debt Ratio Waiver	Requires RD approval or acceptance by GUS ("Accept" by GUS does not require a ratio waiver). Purchase — manually underwritten loans must be 680+ with at least 1 acceptable, supported compensating factor (see UFF USDA guidelines); maximum ratios 32/44. Refinance — the Agency will consider all exception requests, weighing additional layers of risk; compensating factors must be cited.
Military Borrowers	Must occupy as primary residence. Proof of discharge must be received within 1 year, and the service member's family will continue to occupy the property if assigned to a combat zone or other hazardous duty prior to discharge.
Income	All qualifying borrowers must have stable and dependable income with a 24-month history; gaps > 30 days require an LOE. Wage earner income documented with a written VOE and one month's current paystubs, or one month's current paystubs and two years W-2s.
Annual Income Limits	Annual income is the basis for determining adjusted income and includes total gross income of the borrower, co-borrower, and any other adult (18+) household members; amounts anticipated from outside the family during the 12-month period; and all amounts derived from assets to which any family member has access. Include estimated cost-of-living allowances or income increases effective prior to the first payment due date. Count only the first \$480 of earned income from adult full-time students who are not the borrower, co-borrower, or spouse. Rental income is included regardless of duration — total rental income on the most recent IRS 1040 Schedule E for the previous 12 months; if no Schedule E, cancelled checks, money order receipts, bank statements, or other documents may support rents received.
Adjusted Income	Used to determine whether household income is within program limits, allowing deductions for household expenses (disability assistance, medical, childcare; medical not allowable for non-elderly households). Income for all household members is considered — applicant, co-applicant, spouse, other adults, dependents under 18, and full-time students over 18 (income of a non-applicant full-time student 18+ is excluded after \$480). Eligible deductions: each dependent — \$480; each disabled individual who is not the applicant or co-applicant — \$480; each adult full-time student — \$480; elderly (head of household or spouse 62+ and a borrower) — \$400 one-time deduction; disability expenses (unreimbursed in excess of 3% of annual income); medical expenses exceeding 3% of gross annual (elderly households only); childcare for children 12 and under (actual documented cost); attendant care for disabled members. County income limits are published in the Exhibits of RD Instruction 3555-D.

INCOME / ASSETS	
Repayment Income	Determined by the stable and dependable income of the borrowers only; used to calculate DTI. Borrower must have a history of receiving the income with a reasonable expectation of continuance for 3 years. In addition to wages: income from employed minors, medical expense reimbursements, education scholarships paid directly to the student or institution, and government tuition paid directly to the veteran may be included. Foster care and SNAP payments are ineligible. See RD Instruction 3555-D for allowable sources.
Non-Taxable Income	Social Security, pension, workers comp, and disability retirement may be grossed up 25%.
Rental Income	Must be received for 24 months or greater; 2 years tax returns and a copy of the signed current lease. Positive rental income may be considered for repayment (always considered for annual income); negative rental income is a liability.
Unacceptable Sources of Income	Any unverified source; foster care income; temporary or one-time income; retained earnings in a company; rental income from the borrower's single family primary residence or second home; stock options; trailing spouse income; unverifiable income; and income from state-approved marijuana dispensary, even if W-2 wages.
Tax Transcripts	Each adult (18+) household member must complete and execute IRS Form 4506-C for the previous 2 years at application. Information gathered on non-loan household members validates income documentation and disclosures to verify program eligibility only. All 4506-Cs are processed by UFF prior to issuance of the Conditional Commitment.
Documentation — 4506-C / 2907	Full income and asset documentation loans only; 4506-C processed and income validated for the most recent 2 years. Puerto Rico income: sign form 2903 to obtain transcripts, returned Modelo SC 2907 transcripts for 2 years, translated to English and notarized by a 3rd party. The 4506-C with an IRS "no records found" confirmation (IRS website, borrower name and SSN) must be in file.
Assets	Household assets: all must be disclosed and documented; assets in excess of \$5,000 are added to household income at the greater of 1% or actual income earned per tax returns. Common sources: 2-month average balance of depository accounts, current balance of securities, earnest money deposits, HUD-1 proceeds, and equity in retained real property. Retirement accounts (IRA, 401k, 203b, pensions) are excluded. Funds to close: sufficient liquid assets required. Acceptable: checking, savings, gift funds, stocks/bonds, 401K/retirement, and proceeds from sale of other real estate. Funds borrowed against retirement accounts may be used for closing. Unacceptable: cash on hand, unsecured borrowed funds, retirement accounts restricting withdrawal to retirement/employee separation.
Debt Payoff / Paydown to Qualify	Revolving payoff allowed if paid in full prior to or at closing; payoff and zero balance documented from credit or paid on the CD. Account closure may be required at underwriter discretion where there is a clear impact to qualification.
Minimum Reserves	None. Reserves can be used as a compensating factor but must be the borrower's own funds, calculated as the two-month average balance of depository accounts less funds to close. Retirement assets may be considered at 60% of vested value less all loans, provided withdrawal terms show ready conversion to cash without retirement or job termination. Gift funds and proceeds from secured loans may not count toward reserves.
Gift Funds	Permitted. Refer to UFF USDA guidelines for full gift fund documentation details.
Buyer Contribution	No minimum investment required. Borrower cannot receive cash back in excess of monies brought to closing.
Seller Contribution	Seller can pay up to 6% of the borrower's closing costs.

GENERAL	
Underwriting	Underwritten by a UFF USDA certified underwriter. GUS approval may follow documentation requirements except as noted in the matrix/guides.
Manual Underwrite	Loans receiving a GUS Refer may be eligible for a manual underwrite. All manual underwrites require an AUS run with "refer eligible" findings uploaded to the LOS (even when manual is known upfront) or the loan will be downgraded to manual. GUS findings of Ineligible/Ineligible are not permitted.
RD Approval	All USDA loans require a Conditional Commitment (RD 3555-18) issued by Rural Development prior to drawing documents. Any increases in PITI, loan amount, or interest rate, and/or decreases in available funds, require RD approval before drawing loan documents.

GENERAL	
Borrower Eligibility	US citizens, qualified permanent resident aliens, and qualified non-permanent resident aliens are eligible with supporting documentation — see UFF USDA guidelines. Foreign nationals, borrowers with temporary residency status, and borrowers with diplomatic immunity are not eligible.
Co-Borrowers	Permitted. All borrowers must occupy the subject property; non-occupant borrowers and co-signers are not permitted.
Adding/Deleting Borrowers	Borrowers may be added or deleted on refinance transactions provided at least one original borrower remains on the loan.
Loan Terms Available	30-year fixed.
Age of Documents	Credit documents no more than 120 days old at closing. Appraisal completed within 150 days of closing. Title policy and Closing Protection Letter (CPL) no more than 90 days old at funding.
Qualifying Fixed Products	Qualify at note rate.
Assumptions / Escrow Waivers / Prepay / Buydowns	Not permitted.
Hazard Insurance Deductible	Hazard insurance is required. Deductible(s) should not exceed 5% of the total coverage amount. When using a high deductible, UFF must be mindful of the applicant's repayment ability and ensure chosen deductibles are reasonable and will not cause undue hardship.